

**Time:** 5 minutes**Outcome:** Connect Market Structure, Price Taking & Firm Revenue.**Difficulty:** ●●○ Intermediate

Market Structure, Price Taking & Firm Revenue



THE CORE IDEA

A perfectly competitive firm takes the market price as given, so price, average revenue, and marginal revenue are equal. Market power changes the firm's revenue conditions; the competitive firm takes price. Price taking makes each sold unit add the same amount to revenue, setting up the later MR-versus-MC output rule.



HOW TO RECOGNIZE IT

- Look for many firms, a standardized product, easy entry, and no control over market price.
- A price-taking firm can sell another unit without lowering its price.
- For the competitive firm, price, average revenue, and marginal revenue are equal.
- Treat market price as a horizontal line in the individual firm's graph.

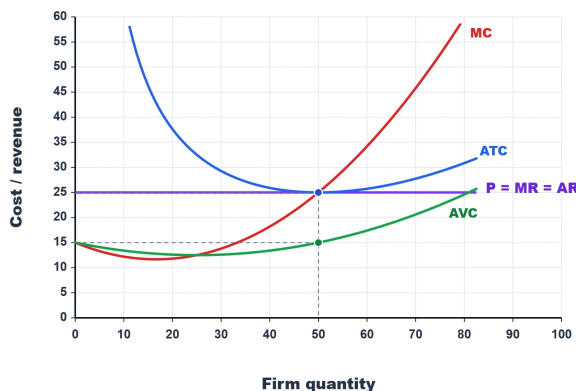


WATCH OUT

A common mistake is to separate price, average revenue, and marginal revenue for a price-taking firm. Under perfect competition, $P = AR = MR$.



WORKED EXAMPLE: REVENUE FOR A PRICE TAKER



The competitive firm takes the market price of \$25, so $P = MR = AR$. The horizontal price line meets marginal cost at 50 units, and total revenue is $\$25 \times 50 = \$1,250$. Because ATC is also \$25 at that output, the firm earns zero economic profit.



CHECK YOURSELF

Why does total revenue rise linearly with output?

**READY?**

Return to the game and master this concept.